

Tentative Rulings for September 11, 2026 Department 10

**To request oral argument, you must notify Judicial Secretary
Crystal Marias at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department 10 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

For information and instructions on remote appearances via **ZOOM**, visit the court's website at [Riverside Superior Court-Remote Appearances](#)

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **161 888 5460**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVRI2300147	MCCOY. VS FLEETWOOD ALUMINUM PRODUCTS, INC.	MOTION TO BIFURCATE ON COMPLAINT FOR OTHER EMPLOYMENT (OVER \$25,000) OF MARK MCCOY

Tentative Ruling: No tentative ruling; the Court requests appearances, either in person or telephonically.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2300147	MCCOY. VS FLEETWOOD ALUMINUM PRODUCTS, INC.	MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE SUMMARY ADJUDICATION ON COMPLAINT FOR OTHER EMPLOYMENT (OVER \$25,000) OF MARK MCCOY

Tentative Ruling: The Court GRANTS Defendant/Cross-Complainant Fleetwood Aluminum Product's Inc.'s Motion(s) for Summary Judgment.

This motion, which is really two motions—one for MSJ/MSA on Fleetwood's Cross-Complaint against Cross-Defendant Mark McCoy, and MSJ/MSA on McCoy's Cross-Complaint ("CC") against Fleetwood—is brought by Cross-Complainant/Cross-Defendant Fleetwood Aluminum Products, Inc. Fleetwood moves the court for summary judgment on its cross-complaint and alternatively for summary adjudication as to McCoy's affirmative defense based on the business judgment rule on the grounds there is no triable issue as to any material fact in light of the binding and preclusive findings established the final arbitration award issued in Mark McCoy v. Fleetwood Aluminum Products, Inc.

Fleetwood asserts that the issues in the arbitration are identical to the issues in Fleetwood's CC which were litigated and necessarily decided, which decision is final and on the merits. Fleetwood asserts that applying the binding findings, Fleetwood establishes breach of fiduciary duties as a matter of law as McCoy owed Fleetwood fiduciary duties as a director and officer and breached those duties by implementing the sham section 139 Plan and refusing to implement corrective steps. Further, Fleetwood asserts that McCoy's breach caused Fleetwood to suffer harm.

As to McCoy's CC, Fleetwood asserts that his claim for express indemnity fails as a matter of law as indemnification is barred because the arbitrator found McCoy engaged in bad faith and misconduct, McCoy cannot establish mandatory indemnification under section 317(d) and the Bylaws do not expand indemnification beyond section 317.

In opposition, McCoy asserts that Fleetwood's CC does not belong in this court as it was required to be arbitrated. McCoy asserts that Fleetwood is forum shopping and engaging in gamesmanship. Further, McCoy asserts that the CC is improperly raised because he is not the plaintiff in this lawsuit as only the derivative claims survive and the employment claims were sent to arbitration. While collateral estoppel may apply to certain issues not raised here (e.g., whether Mr. McCoy was terminated based on age and religion), it demonstrably does not apply to Fleetwood's theories on Section 139, or any other purported legitimate, nondiscriminatory reason for removing Mr. McCoy from the Board, suspending him, and terminating him. Next, McCoy asserts that Fleetwood fails to establish that he breached his fiduciary duties.

In reply, Fleetwood asserts McCoy's opposition cannot, and does not, identify a single triable issue of material fact. For good reason: every material fact needed to grant summary judgment already has been: (i) found by the Arbitrator after a two-week evidentiary hearing; (ii) confirmed by this Court; and (iii) reduced to a final judgment from which McCoy never appealed.

Procedural Issue

McCoy's Separate Statement: McCoy's responses fail to comply with the requirement to either state that the UMF was undisputed or disputed. CCP §437c(b)(3).

Evidentiary Issues

Evidentiary Objections:

C.C.P. §437c(q) provides as follows: "In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review."

McCoy filed evidentiary objections to the Declarations of Michael Davis and Gregory Nylen, which the Court rules on as follows:

Declaration of Attorney Nylen:

- 1: SUSTAIN
- 2 – 6: OVERRULE
- 7 – 8: OVERRULE
- 9-13: SUSTAIN
- 14: OVERRULE
- 15-91: OVERRULE

As the transcripts of the arbitration proceeding are certified transcripts of testimony under oath given with respect to the arbitration ordered in this case, the Court overrules the objections.

Declaration of Michael Davis:

1 – 36: OVERRULE

Fleetwood submitted the following evidentiary objections, which the Court rules on as follows:

McCoy Compendium of Evidence:

1 – 11: OVERRULE

12: SUSTAIN (inadmissible hearsay)

13: OVERRULE

14: SUSTAIN (irrelevant)

Declaration of Mark McCoy:

1-2: OVERRULE

New Evidence Submitted with Reply:

Fleetwood submitted supplemental evidence with its reply. Section 437c(b)(4) of the Code of Civil Procedure provides: “[t]he reply shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers.” Accordingly, the Court disregards the newly filed supplemental evidence in ruling on these motions.

Analysis

Fleetwood’s Cross-Complaint: Fleetwood’s Cross-Complaint alleges a single cause of action for breach of fiduciary duties against Mark McCoy based on the following allegations:

McCoy surreptitiously attempted to replace Fleetwood’s bonus program with sham “disaster relief” payments that did not comply with 26 U.S.C. section 139. While the Board initially approved this bonus program, it did so only because McCoy had represented to them that it was lawful and proper. Specifically, McCoy assured the Board that the program was approved by “the professionals,” when he knew that wasn’t the case. By way of example only, Fleetwood’s outside accounting firm Weaver and Tildwell, LLP (“Weaver”) raised red flags concerning the program that McCoy did not bring to the Board’s attention. Ultimately, when Weaver informed the company in no

uncertain terms that this program in fact did not comply with applicable tax laws, the Board promptly demanded that McCoy take steps recommended by Weaver to remedy the situation. When McCoy refused to do so, the Board suspended and ultimately dismissed him. Fleetwood subsequently implemented the measures necessary to remedy the issue at a cost of hundreds of thousands of dollars to the company. Additionally, while serving as Fleetwood's CEO, McCoy increased executive bonuses—including his own—without Board approval, and engaged in other self-dealing as well. Moreover, while serving as Fleetwood's CEO, McCoy approved the use of a company credit card for the personal expenses of former Fleetwood employee and VP of Finance Bryan Graves ("Graves"). Fleetwood is still investigating whether McCoy approved other improper use of the company credit card by Graves while McCoy was a Director and officer of the company. All of this resulted in McCoy's dismissal in March 2022.

McCoy's Cross-Complaint: McCoy's Cross-Complaint alleges a single cause of action for express indemnity related to Defendant Directors Cross-Complaint against him, which arise out of his role as a director, officer and shareholder of Fleetwood. Pursuant to section 2.25 of Fleetwood's Bylaws, Fleetwood is required to indemnify him for any liability arising out of the CC.

From approximately 1998 to February 11, 2022, McCoy was a Director on Fleetwood's Board of Directors (the "Board"). (UMF 3.) Between December 30, 2020, and March 25, 2022, McCoy served as President and Chief Executive Officer (CEO) of Fleetwood, although he was suspended from those roles on February 11, 2022. (UMF 4.) As a director of Fleetwood, McCoy owed fiduciary duties to the corporation, including duties to act in good faith, in a manner he believed to be in the best interests of the corporation, and with reasonable inquiry. (UMF 5.) As President and CEO, McCoy exercised authority over Fleetwood's operations and finances and owed fiduciary duties to act in the best interests of the corporation. (UMF 6.)

McCoy initiated an arbitration proceeding against Fleetwood, asserting claims including breach of contract, age discrimination, religious discrimination, failure to prevent discrimination, and wrongful termination. (UMF 11.) Following a ten-day evidentiary hearing at which eighteen witnesses testified—including three experts and one treating physician—and voluminous documentary evidence was submitted, the Honorable Terry A. Green (Ret.) issued a written Final Award on August 6, 2025 in favor of Fleetwood. (UMF 13.) The Award was subsequently confirmed by the Court, and judgment was entered in Fleetwood's favor on December 10, 2025. (UMF 13; Nylen Decl. Ex. 9.)

The arbitrator's findings, which were made part of this court's order, include the following:

(8). Claimant's implementation of The Plan was objectively unreasonable, the concerns of The Board regarding The Plan were legitimate and reasonable and demands of The Board for immediate corrective action were not a pretext to

cover up otherwise unlawful motives in terminating Claimant. (Arbitrator's Award, Ex. 15.)

(9). Claimant was advised by professionals that to qualify under Section 139, expenses must relate to the qualified disaster (here, COVID) and must be to replace "reasonable and necessary personal, family, living, or funeral expenses," or "expenses for the repair of a personal residence or replacement of its contents" incurred because of the COVID pandemic. Monies paid by Respondent pursuant to The Plan did not bear any material relationship to any COVID losses incurred by any of Respondent's officers, directors, or employees. (Arbitrator's Award, Ex. 15.)

(10). Claimant was advised by professionals that to qualify under Section 139, funds distributed must not be substitutes for income, wages, or be income replacement. Monies paid by Respondent pursuant to The Plan replaced Respondent's bonus program and other compensation. Other monies paid by Respondent pursuant to The Plan were misclassified holiday bonuses and gifts. Monies paid pursuant to The Plan thus were substitutes for income, wages and constituted income replacement. (Arbitrator's Award, Ex. 15.)

(11). Claimant approved over \$3.35 million in disaster relief payments including \$948,248.97 to the Executive Committee and \$284,468.97 to himself. (Arbitrator's Award, Ex. 15.)

(13). Claimant had informed The Board that professionals had approved of The Plan as implemented. No professional approved The Plan as implemented. (Arbitrator's Award, Ex. 15.)

(14). Claimant refused to completely comply with The Board's requests for documents related to The Plan.

(15). Claimant twice refused to comply or cooperate with The Board's directives to take immediate corrective action with respect to issues relating to employee W-2s.

(19). Failure to correct the W-2s would have exposed the company, employees, and officers to substantial penalties and potential criminal liability. It cost Respondent \$1.655 million to rectify problems caused by The Plan. (Arbitrator's Award, Ex. 15.)

McCoy's SUMFs do not address the issues before the court regarding whether he breached his fiduciary duties owed to Fleetwood. More importantly, McCoy is collaterally estopped from disputing the Arbitrator's findings. Collateral estoppel precludes the relitigation of an issue only if: (1) the issue is identical to an issue decided in a prior proceeding; (2) the issue was actually litigated; (3) the issue was necessarily decided; (4) the decision in the prior proceeding is final and on the merits; and (5) the

party against whom collateral estoppel is asserted was a party to the prior proceeding or in privity with a party to the prior proceeding. (*Zevnik v. Superior Court* (2008) 159 Cal.App.4th 76, 82.)

CCP section 1287.4 provides that if an arbitration award is confirmed, that judgment entered will have the same force and effect as a judgment in a civil action and may be enforced like any other judgment of the court. (CCP section 1287.4.) This court's judgment confirmed the Final Arbitration Award "in its entirety" and ordered that it "shall constitute the final judgment on Plaintiff Mark McCoy's Individual Claims." Further, the entire Award was attached as Exhibit 1 and made a part of this court's judgment.

To rule on the merits of McCoy's individual employment claims, the arbitrator necessarily had to make certain findings regarding issues relevant to McCoy's termination. McCoy is collaterally estopped from relitigating the issues already determined in the arbitration proceeding as all of the elements are met.

Fleetwood's Cross-Complaint:

The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach. (*O'Neal v. Stanislaus County Employees' Retirement Assn.* (2017) 8 Cal.App.5th 1184.)

McCoy owed Fleetwood a fiduciary duty both as a Director and as CEO. An officer serves at the pleasure of the board. (Corp. Code §312(b).) His duties as a Director are set forth in Corp. Code section 309, which also codifies the business judgment rule, as follows:

(a) A director shall perform the duties of a director, including duties as a member of any committee of the board upon which the director may serve, in good faith, in a manner such director believes to be in the best interests of the corporation and its shareholders and with such care, including reasonable inquiry, as an ordinarily prudent person in a like position would use under similar circumstances.

(b) In performing the duties of a director, a director shall be entitled to rely on information, opinions, reports or statements, including financial statements and other financial data, in each case prepared or presented by any of the following:

(1) One or more officers or employees of the corporation whom the director believes to be reliable and competent in the matters presented.

(2) Counsel, independent accountants or other persons as to matters which the director believes to be within such person's professional or expert competence.

(3) A committee of the board upon which the director does not serve, as to matters within its designated authority, which committee the director believes to merit confidence, so long as, in any such case, the director acts in good faith, after reasonable inquiry when the need therefor is indicated by the circumstances and without knowledge that would cause such reliance to be unwarranted.

(c) A person who performs the duties of a director in accordance with subdivisions (a) and (b) shall have no liability based upon any alleged failure to discharge the person's obligations as a director. In addition, the liability of a director for monetary damages may be eliminated or limited in a corporation's articles to the extent provided in paragraph (10) of subdivision (a) of Section 204.

(Corp. Code §309(a)-(c).)

Fleetwood met its burden of production as to each element as the Arbitrator's Award establishes that McCoy implemented a legally improper Section 139 program, authorized millions of dollars in payments—including to himself—mischaracterized professional approval, and refused to comply with Board-directed corrective action after concerns were raised, and the damages sustained by Fleetwood to correct the risks of The Plan to Fleetwood.

Therefore, the burden shifts to McCoy who failed to show that there remain material triable issues of fact regarding the fact that he had a duty, breached that duty and Fleetwood was damaged in the amount of \$1,655,365.47 in professional fees and related costs to investigate, unwind, and remediate the Section 139 program.

McCoy asserts, that at a minimum there are triable issues of fact that he acted in good faith and in a manner he believed to be in the best interests of Fleetwood, and with reasonable care, including relying on the research of other members of the Executive Committee and advice from qualified professionals on matters that he believed to be within their professional or expert competence, citing Corp. Code section 309. However, McCoy is collaterally estopped from raising these issues as they are contrary to the findings already entered in this case pursuant to the Arbitration Award findings. He failed to raise any material triable facts that could support finding that he acted in good faith and in a manner he believed to be in the best interests of Fleetwood.

Accordingly, the Court GRANTS the motion for summary judgment as to Fleetwood's Cross-Complaint.

McCoy's Cross-Complaint:

McCoy's Cross-Complaint alleges a single cause of action for express indemnity related to Defendant Directors Cross-Complaint against him, which arises out of his role

as a director, officer and shareholder of Fleetwood. Pursuant to section 2.25 of Fleetwood's Bylaws, Fleetwood is required to indemnify him for any liability arising out of the CC.

Fleetwood Bylaws include the provision that Fleetwood "shall, to the maximum extent permitted by the California General Corporation Law, indemnify each of its agents against expenses, judgments, fines, settlements, and other amounts actually and reasonably incurred in connection with any proceeding arising by reason of the fact that any such person is or was an agent of the corporation." (Bylaws, §2.25.)

Corp. Code section 317 provides as follows:

No indemnification shall be made under this subdivision for any of the following:

(1) In respect of any claim, issue or matter as to which the person shall have been adjudged to be liable to the corporation in the performance of that person's duty to the corporation and its shareholders, unless and only to the extent that the court in which the proceeding is or was pending shall determine upon application that, in view of all the circumstances of the case, the person is fairly and reasonably entitled to indemnity for expenses and then only to the extent that the court shall determine.

As Fleetwood is entitled to summary judgment on the issue of McCoy's liability for breach of fiduciary duty, it has met its burden to show that McCoy is not entitled to indemnity as Corp. Code section 317 provides that there is no indemnification entitlement where the individual was "adjudged to be liable to the corporation in the performance of that person's duty to the corporation."

Therefore, the burden shifts to McCoy who failed to show that there remain any material triable issues of fact. Accordingly, the Court GRANTS the motion for summary judgment as to McCoy's Cross-Complaint.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2300147	MCCOY. VS FLEETWOOD ALUMINUM PRODUCTS, INC.	MOTION FOR SUMMARY JUDGMENT

Tentative Ruling: The Court GRANTS Motion for Summary Judgment.

Janice McCoy, Mica Gumbleton, Mara McCoy Cartier and Michele Davis move for summary judgment, or alternatively for summary adjudication, as to the derivative claims in Plaintiff's Complaint causes of action 6 – 9. The motion sets forth 20 "Issues"

to be adjudicated. However, “[a] motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (CCP §437c(f)(1).) Each of the “issues” are different arguments as to why each of the causes of action should be summarily adjudicated. As such the “issues” are not independently proper for the Court to address. Therefore, the motion is simply a motion for summary judgment or in the alternative summary adjudication as to the 6th – 9th causes of action.

The moving Defendants assert that the derivative actions are based on alleged breaches of fiduciary duties as Board members because of his termination, but the Directors reasonably relied on Fleetwood officers while conducting the business of the Board and his removal was necessary to protect Fleetwood and they served on the Board in good faith without conflicts. Next, Defendants assert that McCoy is estopped from re-litigating issues decided in arbitration and issue preclusion applies. Defendants assert that the issues in the arbitration are identical to the issues presented in the derivative claims and those issues were actually litigated and decided in the arbitration. The parties are identical and the Directors were in privity with Fleetwood, the company they own and control. Next, Defendants assert that public policy supports the application of issue preclusion.

Defendants further assert that the business judgment rule bars the claims and the doctrine of unclean hands bar the claims. Defendants assert that McCoy cannot establish causation or damages and his injunctive relief action is duplicative of his other claims and similarly barred as a matter of law. Defendants further assert that McCoy lacks standing to bring the derivative claims because he was required to make a pre-lawsuit demand or establish futility. The allegations in the complaint must meet the director-by-director test to establish demand futility and McCoy cannot meet that test.

In opposition, McCoy asserts that this matter is about the Defendant Directors’ gross mismanagement of Fleetwood, not his termination. In addition, McCoy asserts that the Directors’ defenses fail to overcome any triable issue of material fact.

In reply, Defendant Directors assert that McCoy failed to support his separate statement responses with evidence. Defendant Directors reassert that the business judgment rule immunizes them from every claim McCoy asserts and McCoy’s own misconduct bars his claims under the doctrine of unclean hands. Defendant Directors assert they can rely on the arbitration award and assert that they established all unclean hands’ three prongs as McCoy does not dispute his unlawful section 139 wage replacement scheme and that misconduct directly infects his derivative claims. Lastly, Directors reassert that McCoy cannot establish causation or damages as a matter of law and he never made a demand and cannot establish futility; therefore he lacks standing.

Procedural Issue

McCoy's Separate Statement:

McCoy responses rarely complied with the requirement to either state that the UMF was undisputed or disputed. Further, where disputed McCoy failed to cite to admissible evidence. The only admissible evidence he submitted was portions of his own declaration.

Evidentiary Issues

Evidentiary Objections:

C.C.P. §437c(q) provides as follows: "In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review."

McCoy filed evidentiary objections to the Declarations of Gregory Nylen, Michele Davis, Michael Dais, Mica Gumbleton, Mara McCoy Cartier and Attorney Joshua Williams, which the Court rules on as follows:

Declaration of Attorney Gregory Nylen:

1-5: SUSTAIN (Irrelevant)
6: SUSTAIN (Irrelevant and inadmissible under CCP §437c(b)(1).)
7 – 16: SUSTAIN

CCP section 437c(b)(1) provides that a "motion shall be supported by affidavits, declarations, admissions, answers to interrogatories, depositions and matter of which judicial notice shall or may be taken." (CCP §437c(b)(1).) A transcript of testimony, and exhibits admitted, in an arbitration proceeding are not a written declaration under oath, nor an affidavit, nor a declaration or deposition. (See *Wong v. Stillwater Ins. Co.* (2023) 92 Cal.App.5th 1297, 1324.) Accordingly, they are not admissible as evidence to support the Defendant Directors' motion.

Declaration of Michele Davis:

1-33: OVERRULE

Declaration of Michael Davis:

1-38: OVERRULE

Declaration of Mica Gumbleton:

1-33: OVERRULE

Declaration of Mara McCoy Cartier:

1-33: OVERRULE

Declaration of Attorney Joshua Williams:

- 1-2: SUSTAIN (Responses to discovery in another action are not admissible in another action.)
Defendant Directors filed evidentiary objections to the Declaration of Mark McCoy, which the Court rules on as follows:
- 1-2: SUSTAIN (Lacks foundation)
In addition, Defendant Directors filed evidentiary objections to other evidence submitted with the opposition, which the Court rules on as follows:
- 3: SUSTAIN (Irrelevant and inadmissible argument of counsel made at the arbitration hearing)
- 4: OVERRULE
- 5-15: SUSTAIN

Analysis

McCoy's Derivative Complaint alleges in pertinent part as follows:

Defendants Janice McCoy, Mica Gumbleton, Mara McCoy Cartier, and Michele Davis pursued, or joined in the pursuit of, a common course of conduct, in concert and conspiracy with one another in furtherance of their common plan or design in violation of California law and Fleetwood's Bylaws (defined infra). Their wrongful conduct, as alleged herein, includes breaches of fiduciary duty, gross mismanagement, and breach of undivided loyalty that occurred between December 30, 2020, and the present, and they have engaged in a course of conduct for their own benefit and in contravention of Fleetwood's best interests, and their actions cannot have been taken in good faith because the defendants knew that they were proceeding in a manner which failed to comply with their obligations.

Defendant Directors' decisions to knowingly reappoint an incapacitated director, to serve with admittedly insufficient business acumen, to prioritize hiring inexperienced and unqualified family members to positions of authority, to fail to hire professional directors despite admitting that such would be in Fleetwood's interest, to frequently fail to attend Board meetings, to habitually approve measures without conducting reasonable inquiry, and to continually defy Fleetwood's Bylaws all violate the Defendant Directors' fiduciary duties.

Fleetwood is now serially neglecting dealer relationships via decreased transparency and communications and increased tardiness in shipments, causing reputational harm and lost profits to Fleetwood. Indeed, since the Defendant Directors' unlawful attempt to terminate Plaintiff, Fleetwood has lost its largest dealer, which generated approximately \$8 million in 2022 alone. These actions could not have been a good faith exercise of prudent business judgment to protect and promote Fleetwood's interests.

Defendant Directors, and each of them, knowingly acted against Fleetwood's interests, and in violation of the Bylaws, in re-appointing Glenn McCoy as a director despite his incapacity and without proper notice; in appointing Gary Gumbleton as CEO and Michael Davis as CFO without proper notice; and in voting to remove and terminate Plaintiff for discriminatory reasons and without proper notice.

An actual controversy exists because Defendant Directors re-appointed Glenn McCoy as a director despite knowing the severity of his incapacity. Further, Plaintiff contends that the Defendant Directors' votes to remove and terminate him violated public policy and the laws of the State of California because the adverse actions were conducted for discriminatory reasons and in defiance of the Bylaws. Plaintiff also contends that the Defendant Directors' re-appointment of Glenn McCoy, appointment of Michael Davis and Gary Gumbleton, and votes to remove and terminate Plaintiff violated the Bylaws because Plaintiff did not receive or waive notice for any of the actions.

Either party may move for summary judgment "if it is contended that the action has no merit or that there is no defense to the action or proceeding." (CCP §437c(a).) Summary judgment is granted when a moving party establishes the right to entry of judgment on a particular cause of action as a matter of law. (CCP §437c(c).) "The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (CCP §437c(c).) "In determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, except the evidence to which objections have been made and sustained by the court, and all inferences reasonably deducible from the evidence, except summary judgment shall not be granted by the court based on inferences reasonably deducible from the evidence if contradicted by other inferences or evidence that raise a triable issue as to any material fact." (CCP §437c(c).) The court must view such evidence and inferences in the light most favorable to the opposing party. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 844.)

The pertinent facts are as follows:

Fleetwood is a family-owned company owned by siblings Mark McCoy, Michele Davis, Mara McCoy Cartier and their parents Glenn and Janice McCoy. (Michelle Davis Decl. ¶¶2-4, 10; Gumbleton Decl. ¶¶2-4, 10; McCoy Cartier Decl. ¶¶2-4, 10.) Mark McCoy joined Fleetwood's Board and became a shareholder in approximately 1998.

(UMF 16.) Michele has been on Fleetwood's Board since in or around 2000. (UMF 17.) Mara has been on Fleetwood's Board since around 2008 or 2009. (UMF 18.) Mica and Janice joined Fleetwood's Board years before the allegations in this case. (UMFs 19-20.) Michele is the Executor of the Estate of Janice McCoy. (UMF 21.) Glenn was Fleetwood's President and CEO for many years, effectively running the company. (Michele Davis Decl. ¶¶6; Gumbleton Decl. ¶¶6; McCoy Cartier Decl. ¶¶6.) Glenn stepped down from Fleetwood because of his health in or around 2016 and stopped regularly attending Board meetings in or around 2020 because of his worsening health. (UMF 29.) After Glenn stepped down from Fleetwood, Janice assumed authority over their shared Board vote through their trust. (UMF 30.)

Under Fleetwood's Bylaws, "[m]embers of the Board may participate in any meeting through use of conference telephone or similar communications equipment, so long as all members participating in such meeting can hear one another. Participation in a meeting in this manner constitutes presence in person at the meeting." (Bylaws section 2.20.) Section 2.20 also provides that "[a]ny action required or permitted to be taken by the Board may be taken without a meeting, if all members of the Board shall individually or collectively consent in writing to such action. Such written consent or consents must be filed with the minutes of the proceedings of the Board. Action by written consent has the same force and effect as a unanimous vote of the Directors." (Bylaws section 2.20.)

Fleetwood's Bylaws state that its board of directors "may delegate the management of the day-to-day operation of the business of the corporation to a management company or other person provided that the business and affairs of the corporation shall be managed and all corporate powers shall be exercised under the ultimate direction of the Board." (Bylaws section 2.21.) Further, section 2.21 provides that members of its board of directors "shall be entitled, so long as in any such case he or she acts in good faith after reasonable inquiry when the need for it is indicated by the circumstances and without knowledge that would cause such reliance to be unwarranted, to rely on information, opinions, reports, or statements, including financial statements and other financial data, in each case prepared or presented by: (1) One or more officers or employees of the corporation whom the Director believes to be reliable and competent in the matters presented; (2) Counsel, independent accountants, or other persons as to matters which the Director believes to be within such person's professional or expert competence..." (Bylaws section 2.21(b).)

Further, the Bylaws provide that "[a] person who performs the duties of Director in accordance with paragraphs a and b of this Section 2.21 shall have no liability based on any alleged failure to discharge the person's obligation as a Director." (Bylaws section 2.21(c).)

The Fleetwood Board appointed Mark McCoy President and CEO of Fleetwood on December 30, 2020. (UMF 24.) Following Glenn's departure from Fleetwood, Mark generally conducted meetings of the Board. (UMF 33.)

While serving on the Board, the Directors did not hire professional directors to run Fleetwood's Board but relied on the company's officers — primarily Glenn and then Mark and his executive team — to provide the Board with information and guidance. (Michele Davis Decl. ¶¶6; Gumbleton Decl. ¶¶6; McCoy Cartier Decl. ¶¶6.) While serving on the Board, the Directors had no reason to doubt the truth, propriety, or legality of what Mark recommended to the Board until the time of his removal from Fleetwood. (UMF 28.) While serving as Board members, the Directors relied on the information, opinions, and recommendations that came from Fleetwood's Executive Board, which was primarily overseen by Mark. (Michele Davis Decl. ¶¶17; Gumbleton Decl. ¶¶17; McCoy Cartier Decl. ¶¶17.)

Age and religion played no role in who the Directors decided to promote or hire as officers at Fleetwood, including Michael Davis and Gary Gumbleton. (Michele Davis Decl. ¶¶9; Gumbleton Decl. ¶¶9; McCoy Cartier Decl. ¶¶9.) Because Fleetwood is a closely held family company and has been for over 25 years, whether someone was a member of the family was sometimes a consideration in the Directors', and the Board's, hiring or promotion decisions, which was a practice of the Board for at least ten or more years. (Michele Davis Decl. ¶¶10; Gumbleton Decl. ¶¶10; McCoy Cartier Decl. ¶¶10.) The Board's consideration of family ties did not mean that the Directors hired or promoted people at Fleetwood that they believed could not effectively carry out their job duties. (Michele Davis Decl. ¶¶10; Gumbleton Decl. ¶¶10; McCoy Cartier Decl. ¶¶10.)

On February 11, 2022, shareholders holding 87.8% of Fleetwood's outstanding voting shares consented in writing to remove Mark from the Board. (Michele Davis Decl. ¶¶24; Gumbleton Decl. ¶¶24; McCoy Cartier Decl. ¶¶24; Bylaws sections 2.06(c) and 5.04; Shareholder Consent.) Then on February 11, 2022, after Mark had been removed as a director, the Board executed a written unanimous written consent suspending Mark from all employment duties and responsibilities pending further investigation. (Michele Davis Decl. ¶¶25; Gumbleton Decl. ¶¶25; McCoy Cartier Decl. ¶¶25; Bylaws section 2.20; Board Consent.) On March 25, 2022, Mark was terminated from his position as Fleetwood's President and CEO. (Michele Davis Decl. ¶¶26; Gumbleton Decl. ¶¶26; McCoy Cartier Decl. ¶¶26; Bylaws section 5.04; Board Consent; Termination Letter.)

Mark was terminated and removed from Fleetwood because of his implementation at Fleetwood of an Internal Revenue Code Section 139 Payment Program (the "Section 139 Plan") intended to provide tax-free payments to employees to cover purported Covid-19 related expenses and Mark's refusal to fully comply with multiple requests by members of the Board to provide documentation and take the required corrective actions. (Michele Davis Decl. ¶¶18-26; Gumbleton Decl. ¶¶18-26; McCoy Cartier Decl. ¶¶18-26.)

After Mark's suspension from Fleetwood in February 2022, to remediate the problems caused by Mark to Fleetwood, the Directors: (a) appointed Steve Lee, a CPA who has a bachelor's degree in economics from UC Irvine and a master's degree in accounting from USC, to be the company's interim CEO; (b) hired accountants and tax professionals; and (c) hired attorneys, including John Durrant. (Michele Davis Decl. ¶¶11,

¶20; Gumbleton Decl. ¶¶11, ¶20; McCoy Cartier Decl. ¶¶11, ¶20.) Mr. Lee recommended to the Board that Gary Gumbleton (“Gary”) be named Fleetwood’s next CEO based on, among other things, Gary’s 30-year experience, family ties, familiarity with employees, and operational knowledge. (Michele Davis Decl. ¶12; Gumbleton Decl. ¶12; McCoy Cartier Decl. ¶12.) The Directors agreed with and relied on Mr. Lee’s recommendation to appoint Gary and in August 2022, the Board appointed Gary CEO of Fleetwood. (Michele Davis Decl. ¶12; Gumbleton Decl. ¶12; McCoy Cartier Decl. ¶12.)

The Board later hired Michael Davis (“Michael”) as the Vice President of Finance at Fleetwood because he was a CPA. (Michele Davis Decl. ¶14; Gumbleton Decl. ¶14; McCoy Cartier Decl. ¶14.) The Directors found both Gary and Michael’s leadership in their roles as CEO and VP of Finance, respectively, to be both effective and professional. (Michele Davis Decl. ¶14; Gumbleton Decl. ¶14; McCoy Cartier Decl. ¶14.)

The Directors regularly attended meetings of the Board whenever they were able to do so and did everything in their power to participate in the meetings in good faith. If the Directors could not attend a meeting, they generally informed other members that they could not make it. (Michele Davis Decl. ¶29; Gumbleton Decl. ¶29; McCoy Cartier Decl. ¶29.) Even if every member of the Board did not attend every meeting, there was never a material impact on the decision-making of the Board simply because one of the Directors was not present, because a quorum was always present and absent members were generally informed of decisions made. (Michele Davis Decl. ¶29; Gumbleton Decl. ¶29; McCoy Cartier Decl. ¶29.) At all times while the Directors served on the Board, they did their best to serve in good faith and perform their duties in what they understood to be in the best interest of both Fleetwood and its shareholders, including by attending meetings, reviewing information provided by officers, and voting on matters before the Board. (Michele Davis Decl. ¶30; Gumbleton Decl. ¶30; McCoy Cartier Decl. ¶30.)

The Directors did not have any conflicts of interest in connection with any business that was either before the Board or related to a decision made by the Board while the Directors served on it. (Michele Davis Decl. ¶¶33-34; Gumbleton Decl. ¶¶33-34; McCoy Cartier Decl. ¶¶33-34.) At no point while serving on the Board did the Directors conceal or fail to disclose any material information regarding their ownership or interest that would have impacted what the Board was considering or voting on. (Michele Davis Decl. ¶¶33-34; Gumbleton Decl. ¶¶33-34; McCoy Cartier Decl. ¶¶33-34.) While serving on the Board, other than the Directors’ shareholder interest in Fleetwood and familial relationships among Board members and officers, which every Board member was generally aware of, there were no transactions approved by the Board in which the Directors had a personal financial interest that they did not disclose. (Michele Davis Decl. ¶35; Gumbleton Decl. ¶35; McCoy Cartier Decl. ¶35.)

On October 19, 2023, Fleetwood was sold to Masonite Corporation for \$285 million. (Michele Davis Decl. ¶27; Gumbleton Decl. ¶27; McCoy Cartier Decl. ¶27.) As an approximately 12.2% shareholder of Fleetwood, Mark personally received over \$30

million from Fleetwood's sale. (Michele Davis Decl. ¶¶29; Gumbleton Decl. ¶¶29; McCoy Cartier Decl. ¶¶29.)

The admissible parts of Mark McCoy's declaration states that attached as Exhibit 11 is a true and correct copy of the August 30, 2021 minutes of the Board approving the section 139 plan, which is not relevant to ruling on the merits of this motion. The remainder of the evidence upon which McCoy relies is arbitration hearing transcripts of the following:

Michael Davis, a non-party to the litigation testified at the arbitration proceeding as follows: He is Michelle Davis' son and grandson of Glenn and Janice McCoy. He was hired as the VP of Finance and was a licensed CPA in Texas and worked as a public accountant for 6 years with Ernst & Young, as well as a year as a staff accountant with Jerry Love. While at Ernst & Young he audited multibillion dollar public and private companies. The VP position was not opened up to outside recruitment before Michael was hired. It was recommended by the interim CEO that Michael take the VP position as there was a vacancy that needed to be filled.

Burden of Persuasion/Production:

"[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law. ... There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof." (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) "[A] plaintiff bears the burden of persuasion that "each element of" the "cause of action" in question has been "proved," and hence that "there is no defense" thereto. (Code Civ. Proc., § 437c, subd. (o)(1).) A defendant bears the burden of persuasion that "one or more elements of" the "cause of action" in question "cannot be established," or that "there is a complete defense" thereto. (*Id.*, § 437c, subd. (o)(2).)" (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) "[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact. ... A burden of production entails only the presentation of "evidence." (Evid.Code, § 110.) A burden of persuasion, however, entails the "establish[ment]" through such evidence of a "requisite degree of belief." (*Id.*, § 115.) ... A prima facie showing is one that is sufficient to support the position of the party in question. (Cf. Evid.Code, § 602 [stating that a "statute providing that a fact or group of facts is prima facie evidence of another fact establishes a rebuttable presumption"].) No more is called for." (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 851.) "[H]ow the parties moving for, and opposing, summary judgment may each carry their burden of persuasion and/or production depends on which would bear what burden of proof at trial. ... [I]f a plaintiff who would bear the burden of proof by a preponderance of

evidence at trial moves for summary judgment, he must present evidence that would require a reasonable trier of fact to find any underlying material fact more likely than not—otherwise, he would not be entitled to judgment as a matter of law, but would have to present his evidence to a trier of fact. By contrast, if a defendant moves for summary judgment against such a plaintiff, he must present evidence that would require a reasonable trier of fact not to find any underlying material fact more likely than not—otherwise, he would not be entitled to judgment as a matter of law, but would have to present his evidence to a trier of fact.” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 851.)

6th, 7th and 8th Causes of Action for Breaches of Fiduciary Duty:

The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach. (*O’Neal v. Stanislaus County Employees’ Retirement Assn.* (2017) 8 Cal.App.5th 1184.) Defendant Directors met their burden of production that they did not breach their fiduciary duty, shifting the burden to McCoy to show that there remain triable issues of material fact regarding these causes of action. He failed to submit any admissible evidence in opposition to show that there remain triable issues of material fact as to the 6th and 7th causes of action. Accordingly, the Court GRANTS summary adjudication as to the 6th and 7th causes of action.

9th Cause of Action for Declaratory and Injunctive Relief:

Declaratory relief is authorized pursuant to C.C.P. §1060-1062.5. The purpose of declaratory relief is to eliminate uncertainties and controversies that may result in future litigation. (*Marina Development Co. v. County of Los Angeles* (1984) 155 Cal.App.3d 435, 443.) An action for declaratory relief is authorized only when an actual controversy exists. (C.C.P. §1060.) Declaratory relief has two elements a party must satisfy: “ (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to [the party’s] rights or obligations.” (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal App. 4th 872, 909.) “[T]he remedy is to be used in the interests of preventive justice, to declare rights rather than execute them.” (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal App. 4th 872, 909.)

Defendant Directors have met their burden to show that there is no actual controversy existing between the parties, nor a basis therefore for either declaratory relief or injunctive relief. Therefore, the burden shifts to McCoy to show that there remain triable issues of material facts regarding this cause of action. He failed to present any admissible evidence in opposition to reflect that there are material triable issues of fact. Accordingly, the Court GRANTS summary adjudication as to the 9th cause of action and thus grants summary judgment.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2305736	CITY OF JURUPA VALLEY VS HARROD	MOTION RECEIVER'S MOTION FOR AUTHORIZATION TO INCREASE THE RECEIVER'S CERTIFICATE FUNDING BY RICHARSON C GRISWOLD

Tentative Ruling: No tentative ruling; the Court requests appearances, either in person or telephonically.

5.

CASE #	CASE NAME	HEARING NAME
CVRI2507451	CITAL VS FCA US LLC	MOTION FOR SANCTIONS BY FCA US LLC

Tentative Ruling: The Court continues the Motion to September 24, 2026, at 8:30 a.m.

6.

CASE #	CASE NAME	HEARING NAME
CVRI2601299	WELLS FARGO BANK, N.A. VS BOWLIN	MOTION TO VACATE MOTION TO VACATE AND SET ASIDE ENTRY OF DEFAULT BY KIRK BOWLIN

Tentative Ruling: Granted.